On 29 April 1947, Mountbatten displayed that he was well aware of the complications of the Gilgit lease when he advised Lord Listowel, the Secretary of State for India in the British Government, on the future of the lease. At this point, the date for the transfer of power was still known to be June 1948. In a startling departure from the Cunningham-Ismay line, Mountbatten recommended that the entire area of Gilgit be returned to the state of Jammu and Kashmir before June, perhaps as early as October 1947. Listowel agreed and Nehru, too, concurred when consulted. Jinnah was not asked for his opinion.

Why did Mountbatten take this new decision? Did Attlee tell him to rescind the Gilgit lease as the overburdened British state could no longer continue to bear the costs associated with maintaining it? Or was Mountbatten influenced by reports from the British Political Agent in Kashgar, Michael Gillett who had informed the officials in New Delhi about the Ili rebellion in Sinkiang? This was a Soviet-backed revolt against the Chiang Kai-shek-dominated Kuomintang Government of the Republic of China, in 1944.[9] The outbreak of this Government in November 1944 quickly spread to the two northern districts of Chugachack and Altai. Gillett observed that the rebels had received considerable help from the Soviets. A measure of peace was negotiated in January 1946, through Soviet mediation. However, the autumn of 1947 saw a complete change in things —the Ili rebels took control of Ili, Chugachack and Altai, thereby isolating these regions from the rest of Sinkiang. As late as the summer of 1948, Gillett's successor, Eric Shipton continued to express the hope of travelling to Ili from Kashgar. However, this was politically impossible. Support from the Soviets also saw the Kirghiz and Tadjik uprising in the south of Sinkiang; this uprising, known as the Sarikol Rebellion, took place in the autumn of 1945. The rebels threatened Kashgar, captured Kaghilik and attacked Yarkand. Further north, Aksu was attacked and portions of the Urumchi-Kashgar highway were occupied. The Sarikol rebels had also cut off the approach from India, going as far east as the Karakoram Pass in Ladakh. All courier services between Gilgit and Kashgar were stopped.